

By occupation, government employees show a strong preference for FDs and Public Provident Fund (PPF) at 48%. Self-employed individuals and entrepreneurs favour real estate, gold and FDs; private-sector salaried respondents maintained a more balanced asset allocation.

Income levels reveal a clear trend towards diversification. Respondents earning above ₹10 lakh annually have a higher participation in real estate and gold; lower-income groups favour FDs, PPF and other savings avenues. High-income households showed the strongest preference for gold at 54%, FDs at 48%, SIPs and mutual funds at 46%, and real estate at 46%.

INSIDE A GEN Z MIND

166 | Advisors say Gen Z investors frequently ask about MF SIPs versus direct equity investing, as well as tax-saving instruments such as Equity-Linked Savings Schemes.

Kumar notes that while Gen Z is quick to open investment accounts digitally, limited market experience leaves many underprepared for volatility. As far as savings go, despite relatively healthy saving rates, most Gen Z members do not maintain an emergency fund and instead channelise savings directly into equities.

Mondal says Gen Z recognises that they have the time but not the bandwidth to track 500 stocks. SIPs allow them to participate in India's growth story without the market volatility of individual stocks.

For a few, says the New Delhi-based Kumar, limited exposure to personal finance education means many are unfamiliar with concepts such as compounding, mechanics of SIPs, FD returns relative to inflation, and long-term wealth protection offered by different asset classes.



“Gen Z is navigating a middle path between the caution of earlier generations and experimentation seen among global peers”

ABHISHEK KUMAR
FOUNDER, SAHAJMONEY



“With so much AI-generated advice and ‘finfluencer’ content, the biggest risk is over-analysis. Stick to the basics”

UPASANA MONDAL
FOUNDER,
DREAMBLUEPRINTZ

SAVING GRACE

The PRICE survey shows that 41% of respondents save between 20% and 40% of their income, while 32% save up to 20%. About 13% save 40-60% while 3% reported saving most of their income. These trends showed little variation across genders. Education emerged as a differentiating factor. Around 51% of post-graduates save between 20% and 40% of their income. This proportion declines steadily as education levels drop, ranging from 16% to 38% among graduates, higher secondary, matric and below primary groups.

Gen Z today spends time and effort to learn about investing, says Saurabh Bansal, founder of Finatwork Investment Advisors. He notes that Gen Zs value work-life balance and that they just do not derive identity from their work; they focus on the quality of work.

“I would suggest them to keep 20-30% of their income aside and divide it into three buckets 1) for the next experience (reward oneself for showing discipline) 2) for long term (towards financial independence) 3) risk bucket (investing in an idea they are bullish about),” says Bansal.

Kumar advises Gen Z investors to first build an emergency corpus covering at least six months of expenses and clear high-interest debt before investing. He says equity investments should be considered only with a five- to seven-year horizon alongside diversification across fixed income, equities and assets such as gold.

“With so much AI-generated advice and ‘finfluencer’ content, the biggest risk is over-analysis. Stick to the basics: low-cost index funds and FD and gold for balancing,” says Mondal. **BT**

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